

RURAL LOCAL GOVERNANCE: PANCHAYATS

- **Definition:** Panchayati Raj is a local self-governance system in rural India also known as democratic decentralisation (UPSC 2017), meaning “rule by five”, originating from the practice of five elder villagers making decisions for the community.
- **Historical Context:** It is rooted in the ancient political history of the Indian subcontinent and gained constitutional status through the 73rd Amendment (1992).
- **The principle of Subsidiarity** is a political concept advocating decentralisation and local decision-making in governance. State governments’ devolution of powers to Panchayati Raj Institutions (PRIs) and Municipalities aligns with this principle.
- PRI role IN People’s participation in development, Democratic decentralisation. [UPSC 2015]

PANCHAYATI RAJ EVOLUTION IN INDIA

British Period

- **Autonomy loss:** Village panchayats weakened under British rule.
- **Mayo’s Resolution (1870):** Expanded powers and responsibilities of local institutions.
- **Lord Ripon (1882):** Known as the Father of Local Self-Government in India.
- **Royal Commission on Decentralization (1907):** Recognized the importance of village panchayats.
- **Montagu Chelmsford Reforms (1919):** Transferred local government powers to provinces.

Post-Independence Period

- **Constitutional Mention:** Article 40 empowered state legislatures to legislate on local self-governance. Local Government is a State subject under the Seventh Schedule of the Constitution.
- **Community Development Programme (1952) & National Extension Service (1953):** Faced issues like bureaucracy and lack of participation.
- **Balwant Rai Mehta Committee (1957):** Recommended enhancements, leading to Rajasthan pioneering Panchayati Raj in 1959.

- **73rd Constitutional Amendment Act (1992):** Formalised Panchayati Raj Institutions, effective from April 24, 1993 (National Panchayati Raj Day).
- **First Panchayati Raj State:** Nagaur, Rajasthan (October 2, 1959).

IMPORTANT COMMITTEES AND THEIR RECOMMENDATIONS

1. Balwant Rai Mehta Committee (1957):

- Established to examine Community Development Programs (1952) and National Extension Services (1953).
- **Recommended a three-tier Panchayati Raj system:** Gram Panchayat (village), Panchayat Samiti (block), and Zila Parishad (district).
- **Direct elections** at the village level, **indirect elections** for higher levels.
- Zila Parishad was the advisory and coordinating body, chaired by the District Collector.
- Emphasised **district-level planning** and future devolution of powers.
- Accepted by the National Development Council in 1958.

Note: NDC is associated with ‘Planning’ in India. (UPSC 2014). NDC has no mention in the constitution. [UPSC 2013]

- **National Development Council: Members** The Prime Minister (Chairman), ministers of the Union Cabinet & Chief Ministers of the States [UPSC 2013]

2. Ashok Mehta Committee (1977):

- Formed to revive and strengthen the Panchayati Raj system.
- Recommended a **two-tier system:** Zila Parishad (district) and Mandal Panchayat (cluster of villages).
- **District as the key point for decentralisation.**
- **Political parties** should contest Panchayat elections (West Bengal was the first to implement this).
- **Mandatory taxation powers** for Panchayats to generate resources.
- **Reservation for SCs/STs** and suggested constitutional status for PRIs.

- **Social audits** and limited state government intervention.
 - No actions were taken on its recommendations.
- 3. Dantwala Committee (1978):**
- Focused on **block-level planning**.
- 4. Hanumantha Rao Committee (1984):**
- Recommended separate **district planning bodies** under either the District Collector or a minister.
- 5. G V K Rao Committee (1985):**
- Recommended **Zila Parishad** as the principal institution for rural development.
 - Suggested Panchayats at all levels should participate in **planning, implementation, and monitoring**.
 - Creation of **District Development Commissioner** post.
 - Concluded that PRIs were becoming “**grass without roots**” due to excessive bureaucracy.
- 6. L M Singhvi Committee (1986):**
- Recommended **constitutional recognition** for PRIs by adding a new chapter in the Constitution.
 - **Nyaya Panchayats** (local judicial bodies) for villages.
 - PRIs should have more financial resources and be **directly democratic**.
 - Suggested establishment of **tribunals** for resolving Panchayat-related disputes.
- 7. Thungon Committee (1988):**
- Focused on **district planning** and recommended **three tiers** of Panchayati Raj.
 - Zila Parishad to lead district planning and development.
 - The District Collector should be **CEO of Zila Parishad**.
 - **Reservation of seats** for SCs, STs, and women, and a **fixed tenure** of five years for PRIs.
 - Suggested **State Finance Commission** and **State Planning Committee** for better coordination.
- 8. Gadgil Committee (1988):**
- Emphasised **constitutional status** for PRIs.
 - Recommended **direct elections** for all three Panchayat levels and a **five-year tenure**.
 - **Power to levy and collect taxes** for PRIs, with State Finance and Election Commissions established.
 - Became the basis for the **73rd Constitutional Amendment**.

Post-Constitutionalization Committees (After the 73rd Amendment)

- Task Force on Devolution of Powers (2001):** Chaired by Lalit Mathur.
- Expert Group on Planning at Grassroots Level (2005):** Chaired by V. Ramachandran.

- Task Force for Manual on District Planning (2008):** Chaired by Rajwant Sandhu.
- Committee on Restructuring of DRDA (2010):** Chaired by V. Ramachandran.
- Expert Committee on Leveraging Panchayats (2012):** Chaired by Mani Shankar Aiyar.

PANCHAYAT (73RD CONSTITUTIONAL AMENDMENT ACT, 1992)

Constitutional Provisions: 11th Schedule: Added with **29 functional items**; provisions from **Article ‘243-243O’** under **Part IX**.

Gram Sabha (Article 243 A)

- **Article 40:** Mandates states to organise **village panchayats** as **units of self-government**.
- **Symbol of direct democracy (democratic decentralisation):** Represents **direct democracy**; includes all registered voters of the village; functions defined by **state legislature**. [UPSC 2017]

Three-Tier Panchayat System: Establishes uniform structure of **Panchayati Raj** across the country.

- **Tiers:** Village, Intermediate, and District levels.
- States with **< 20 lakh** population may skip intermediate level.
- **Direct Elections:** All members elected directly at all levels; chairpersons elected as per state legislature.
- **Reservation (Article 243 D):**
 - Seats reserved for **SC/ST** based on population + **1/3rd** for **women**.
 - SC reservation does not apply in **Arunachal Pradesh** (83rd Amendment Act, 2000).
 - Reservation for **backward classes** is permitted.
 - Reservations for SC/STs cease after **80 years** (till **2030**).

Duration: Term is **Five years**, can be dissolved early (Art 243E).

- **Fresh Elections:** Required if dissolved within 6 months; otherwise, no new elections needed if **< 6 months** left.
- Newly reconstituted panchayat serves only the remainder of the term. [UPSC 2016]

Disqualification (Article 243 F): Disqualifications based on state laws;

- **Age limit:** Minimum **21 years** (not disqualified if under **25**). [UPSC 2016]
- Disqualification authority defined by the state legislature. [UPSC 2016]

State Election Commission (Article 243 K) [UPSC 2011]

- **Conducts Elections:** Oversees all panchayat elections.
- **Appointment:** State Election Commissioner appointed by the **Governor**; removal procedure similar to an **HC judge**.

- **Tenure Conditions:** Set by the Governor; conditions cannot be worsened post-appointment.

Bar to Court Interference in Electoral Matters (Article 243 O)

- Courts cannot interfere in panchayat elections; challenges must be through state legislature-defined **election petitions**.
- Validity of laws regarding **constituency delimitation** or seat allotment can only be questioned via specified election petitions.

Powers, Functions and Finances

- **Authority:** States can grant necessary powers for panchayats to operate as **self-governing institutions**.
- The Constitution of India prescribes that Panchayats should be assigned the task of preparation of plans for economic development and social justice. [UPSC 2013]
- **Financial Powers:**
 - **Taxation:** Panchayats can levy and collect taxes, duties, tolls, and fees.
 - **Grants-in-Aid:** States may provide funds from the consolidated state fund.
 - Establishment of funds for **panchayat finances**.
- **11th Schedule:** Includes **29 matters** for panchayat administration.

1. Agriculture, including agricultural extension
2. Land improvement, implementation of land reforms, land consolidation, and soil conservation
3. Minor irrigation, water management, and watershed development
4. Animal husbandry, dairying, and poultry
5. Fisheries

6. Social forestry and farm forestry
7. Minor forest produce
8. Small-scale industries, including food processing industries
9. Khadi, village, and cottage industries
10. Rural Housing
11. Drinking water
12. Fuel and fodder
13. Roads, culverts, bridges, ferries, waterways, and other means of communication
14. Rural electrification, including distribution of electricity
15. Non-conventional energy sources
16. Poverty alleviation programme
17. Education, including primary and secondary schools
18. Technical training and vocational education
19. Adult and non-formal education
20. Libraries
21. Cultural activities
22. Markets and fairs
23. Health and sanitation, including hospitals, primary health centres, and dispensaries
24. Family welfare
25. Women and child development
26. Social welfare, including the welfare of the handicapped and mentally retarded
27. Welfare of the weaker sections, and in particular, of the scheduled castes and the scheduled tribes
28. Public distribution system
29. Maintenance of community assets

Compulsory Provisions	Voluntary Provisions
• Gram Sabha: Organization in villages or groups of villages. • Panchayat Structure: Establishment at village, intermediate, and district levels. • Direct Elections: All seats in panchayats at all levels are elected directly. • Indirect Elections: Chairpersons at intermediate and district levels elected indirectly. • Age Requirement: Minimum age of 21 years to contest elections. • Reservations: ○ One-third of seats for women at all levels. ○ Reserved seats for SCs and STs at all levels. • Tenure: Five years for panchayats; elections held within six months of supersession. • State Election Commission: Established for conducting panchayat elections. • State Finance Commission: Reviews financial status of panchayats every five years.	• Gram Sabha Empowerment: Granting powers and functions to the Gram Sabha. • Chairperson Elections: States determine the election process for village panchayat chairpersons. • Representation: ○ Village panchayat chairpersons represented in intermediate or district panchayats. ○ Members of Parliament and state legislatures represented in respective panchayats. • Backward Classes: Provision for reserving seats in panchayats. • Autonomy: Granting powers for panchayats to operate as autonomous bodies. • Devolution of Powers: Responsibilities for economic development and social justice, including 29 functions from the Eleventh Schedule. • Financial Powers: ○ Ability to levy and collect taxes, duties, tolls, and fees. ○ Taxes levied by the state government assigned to panchayats. ○ Grants-in-aid from the state's consolidated fund. ○ Establishment of funds for panchayat finances.

State Finance Commission (Article 243 I) (UPSC 2011)

- **Constitution:** Governor constitutes every **five years** to assess panchayat finances.
- **Recommendations:**
 - Distribution of net proceeds from state taxes among panchayats.
 - Determining taxes for panchayat assignment.
 - Grants-in-aid from the consolidated state fund.
- **Composition & Qualifications:** Defined by the state legislature.
- **Reporting:** Recommendations submitted to the state legislature with an action taken report.
- **Central Finance Commission:** Can recommend measures to enhance state funds and panchayat resources.

Other Provisions

- **Existing Laws:** Continue for **one year** post-enactment (Art. 243 N).
- **Audit & Accounts:** Governed by state legislature (Art. 243 J).
- **Applicability to UTs:** Applicable to **Union Territories**, with presidential exceptions (Art. 243 L).
- **Exemptions:** States like **Nagaland, Mizoram, Meghalaya**, and areas with existing district councils.
- **Extension to Scheduled Areas:** Parliament can extend provisions to scheduled and tribal areas via the **Panchayats (Extension to the Scheduled Areas) Act, 1996 (PESA Act)**.

Panchayats Extension to Scheduled Areas (PESA) Act, 1996 (UPSC 2012)

Part IX provisions of the Constitution regarding Panchayats do not automatically apply to areas under the **Fifth Schedule**. Parliament can extend these provisions with specific exceptions and modifications through the PESA Act. Created to create autonomous regions in tribal areas. [UPSC 2013]

Features of PESA Act

- **State Legislation:** Must align with **customary laws, social, and religious practices** of the communities.
- **Village Definition:** A village consists of habitation or groups managing affairs based on traditions.
- **Gram Sabha:** Mandatory in every village. Gram Sabha has the power to prevent alienation of land in the Scheduled Areas. Gram Sabha has the ownership of minor forest Produce. (UPSC 2012). Under the **Scheduled Tribes and Other Traditional Forest Dwellers (Recognition of Forest Rights) Act, 2006**, Gram Sabha shall be the authority to initiate the process for determining the nature and extent of individual or community forest rights or both. [UPSC 2013]

Ministry of Tribal Affairs (MoTA) is the nodal agency for the implementation of the Scheduled Tribes and Other Traditional Forest Dwellers (Recognition of Forest Rights) Act, 2006. The ministry deals with forest and livelihood objectives at the national level. [UPSC 2021]

- **Composition:** Includes all persons on the electoral rolls for the village-level Panchayat.
- **Authority:** Protects community traditions and resources, Identifies beneficiaries and approves plans & Certifies fund utilisation for projects.
- **Seat Reservations:**
 - In proportion to community population, with **50%** for Scheduled Tribes.
 - Chairpersons of all Panchayat levels reserved for Scheduled Tribes.
 - States may nominate STs without representation at intermediate or district levels (up to **10%** of total members).
- **Land Acquisition and Resource Management**
 - **Consultation Requirement:** Gram Sabha or Panchayats must be consulted before land acquisition for development projects.
 - **Water Body Management:** Planning and management of minor water bodies assigned to Panchayats.
 - **Mandatory Recommendations:** Required from Gram Sabha or Panchayats for prospecting licences and mining leases for minor minerals.
- **Powers and Responsibilities**
 - **Prohibition Enforcement:** Control over the sale and consumption of intoxicants and minor forest produce.
 - **Land Management:** Prevent alienation of land in Scheduled Areas and manage village markets.
 - **Resource Control:** Authority over local plans, resources, and tribal sub-plans.
 - **Safeguards:** State laws must prevent higher-level Panchayats from usurping powers of lower-level Panchayats or Gram Sabhas.
- **Administrative Structure**
 - **Alignment:** State Legislature should aim to follow the administrative framework of the **Sixth Schedule** while formulating district-level Panchayat setups.
 - **Inconsistent Laws:** Any law relating to Panchayats in Scheduled Areas inconsistent with PESA will cease to be in force one year post-presidential assent.
- **Sources of Revenue for Panchayati Raj Institutions (According to 2nd ARC)**
 - **Grants:** From the Union Government per **Central Finance Commission** recommendations (Article 280).
 - **Devolution:** From State Government based on **State Finance Commission** recommendations (Article 243 I).
 - **Loans/Grants:** From the State Government.

- **Program-Specific Allocations:** Under **Centrally Sponsored Schemes** and **Additional Central Assistance**.
- **Internal Resource Generation:** Through taxes and non-tax revenues.

URBAN LOCAL GOVERNANCE: MUNICIPALITIES

- **Local Government:** A **State subject** under the **Seventh Schedule** of the Constitution.
- **Urban Local Government:** Regulated by the **Ministries** of Housing and Urban Affairs, Defence, and Home Affairs.
- Urban local bodies oversee city administration and development, focusing on **public services** and **infrastructure**.
- **Constitutional Mandate:** The Indian Constitution initially lacked explicit provisions for urban self-government. While **Directive Principles** mention **village Panchayats**, **municipalities** are only indirectly referenced under Entry 5 of the **State List**, designating local self-governance as a **State responsibility**.

Evolution of Urban Governance

- **Historical Roots:** Urban governance institutions stem from the **British colonial period**. Key milestones include:
 - **1688:** Establishment of the first **municipal corporation** in **Madras**.
 - **1726:** Formation of municipal corporations in **Bombay** and **Calcutta**.
 - **1870:** **Lord Mayo's** resolution aimed at financial decentralisation, promoting local self-government.
 - **1882:** **Lord Ripon's** resolution dubbed the '**Magna Carta**' of local self-government. Lord Ripon (1882) is recognized as the **Father of Local Self-Government** in India.
 - **1907:** Formation of the **Royal Commission on Decentralisation**, reporting in **1909**.
 - **1919:** **Government of India Act** introduced dyarchy, placing local self-government under an Indian minister's supervision.
 - **1924:** Passage of the **Cantonments Act** by the Central legislature.
 - **1935:** The **Government of India Act** recognized local self-government as a **provincial subject**.
 - **1989:** Introduction of the **65th Constitutional Amendment Bill** (Nagarpalika Bill) aimed to constitutionalize and strengthen municipal bodies; it was not passed by the Rajya Sabha.
 - **1992:** The **65th Amendment Bill** became the **74th Constitutional Amendment Act**, effective from **June 1, 1993**, during **P.V. Narasimha Rao's** premiership.

MUNICIPALITY (74TH CONSTITUTIONAL AMENDMENT ACT, 1992)

The **74th Constitutional Amendment Act (CAA)** came into effect on **1 June 1993**, establishing a constitutional framework for urban local governance in India.

- **Constitutional Status:** Introduced **Part IX-A** (Articles 243-P to 243-ZG) to the Constitution, granting municipalities constitutional recognition and enforceable rights.
- **Twelfth Schedule:** Added, containing **18 functional items** related to municipal governance (e.g., urban planning, sanitation, public health).
- **Types of Municipalities (Article 243Q)**
 - **Nagar Panchayat:** For transitional areas.
 - **Municipal Council:** For smaller urban areas.
 - **Municipal Corporation:** For larger urban areas.
- **Composition (Article 243R)**
 - All members are directly elected from **wards**.
 - State legislatures can provide for representation of individuals with expertise in municipal administration.
- **Wards Committees (Article 243S):** Established in municipalities with a population of **3 lakh or more**.
- **Reservation of Seats (Article 243T)**
 - **SC/ST:** Seats reserved in proportion to their population.
 - **Women:** At least **one-third** of total seats reserved for women, including those from SC/ST.
 - Reservation provisions for **OBCs** as determined by the state legislature.
- **Duration and Elections (Article 243U)**
 - Standard **five-year term** for municipalities.
 - Fresh elections must occur within **six months** of dissolution or before the end of the five-year term.
- **Powers and Functions (Article 243W)**
 - State legislatures can empower municipalities for economic development and social justice.
 - **12th schedule: 18 matters** that can be transferred to the municipalities.

1. Urban planning including town planning;
2. Regulation of land use and construction of buildings;
3. Planning for economic and social development;
4. Roads and bridges;
5. Water supply for domestic, industrial and commercial purposes;
6. Public health, sanitation, conservancy and solid waste management;
7. Fire services;
8. Urban forestry,



9. Protection of the environment and promotion of ecological aspects;
10. Safeguarding the interests of weaker sections of society, including the handicapped and mentally retarded;
11. Slum improvement and upgradation;
12. Urban poverty alleviation;
13. Provision of urban amenities and facilities such as parks, gardens, playgrounds;
14. Promotion of cultural, educational and aesthetic aspects;
15. Burials and burial grounds, cremations and cremation grounds and electric crematoriums;
16. Cattle ponds, prevention of cruelty to animals;
17. Vital statistics including registration of births and deaths;
18. Public amenities including street lighting, parking lots, bus stops and public conveniences; and regulation of slaughterhouses and tanneries.

- **Finances:** State legislature may (a) authorise a municipality to levy, collect and appropriate taxes, duties, tolls and fees; (b) assign to a municipality taxes, duties, tolls and fees levied and collected by the state government; (c) provide for making grants-in-aid to the municipalities from the consolidated fund of the state; and (d) provide for the constitution of funds for crediting all money of the municipalities.
- **Audit of Accounts (Article 243 Z):** Provisions with respect to the maintenance of accounts by municipalities and the auditing of such accounts are made by the state legislature.
- **Elections to the Municipalities (Article 243ZA):** State Election Commission will be responsible for overseeing municipal elections, including electoral rolls and conduct of elections.
- **Application to Union Territories (Article 243ZB):** The provisions of the 74th CAA apply to Union territories, with potential modifications by the President.
- **Exempted Areas (Article 243 ZC):** The Act does not apply to **scheduled areas, tribal areas, or the Darjeeling Gorkha Hill Council.**
- **Bar to Court Interference (Article 243ZG):** Courts cannot interfere in municipal electoral matters; challenges must be raised via election petitions as prescribed by state legislation.

TYPES OF URBAN GOVERNMENT IN INDIA

1. Municipal Corporation

- **Establishment:** Created by state legislature acts (or Parliament for UTs).
- **Structure:** Comprises a council (headed by a Mayor), standing committees, and a municipal commissioner.
 - ◆ **Mayor:** Presides over meetings, largely ceremonial role; elected for a one-year renewable term.

- ◆ **Council:** Legislative wing with directly elected councillors and nominated experts.
- ◆ **Standing Committees:** Handle specific issues (e.g., health, finance).
- ◆ **Municipal Commissioner:** Chief executive, appointed by the state government, usually an IAS officer.

2. Municipalities

- **Establishment:** Created by state legislature acts for towns and smaller cities.
- **Structure:** Similar to municipal corporations, includes a council (headed by a president) and a chief executive officer.
 - ◆ **President:** Plays a significant role in administration, presides over meetings.
 - ◆ **Chief Executive Officer:** Manages daily operations, appointed by the state government.

3. Town Area Committee

- **Establishment:** Created by state legislature acts for small towns.
- **Functions:** Limited civic functions (e.g., drainage, roads).
- **Composition:** May be elected, nominated, or a mix of both.

4. Cantonment Board

- **Establishment:** Governed by the Cantonments Act of 2006.
- **Structure:** Partly elected and partly nominated; ex-officio president is the military officer commanding the station.
- **Executive Officer:** Appointed by the President of India to implement board decisions.

5. Notified Area Committee

- **Establishment:** Created through a gazette notification for fast-developing towns.
- **Composition:** Entirely nominated, not elected.

6. Township

- **Establishment:** Created by large public enterprises for staff amenities; lacks elected members.

7. Port Trust

- **Establishment:** Created by Parliament to protect ports and provide civic amenities.
- **Composition:** Includes both elected and nominated members; chaired by an official.

8. Special Purpose Agency

- **Establishment:** Set up for specific functions; not area-based and independent of local bodies.

Planning Committees

1. District Planning Committee (DPC) [UPSC 2011]

- **Article 243ZD:** Formed to consolidate plans from panchayats and municipalities.

- **Composition:** Mostly elected members from local bodies, with representation proportional to rural and urban populations.
- **Function:** Forwards development plans to the state government.

2. Metropolitan Planning Committee (MPC) [UPSC 2011]

- **Article 243ZE:** For areas with populations over 10 lakhs.
- **Composition:** Two-thirds elected from local bodies, one-third nominated; representation based on population ratios.
- **Function:** Prepares and forwards development plans to the state government. It Prepares the draft development plans for the metropolitan area. [UPSC 2011]

Municipal Personnel Systems

- **Separate System:** Local bodies appoint and control their personnel; promotes loyalty.
- **Unified System:** State government manages personnel; transferable across local bodies.
- **Integrated System:** Personnel from state and local bodies are part of the same service; transferable across different departments.

Municipal Revenue Sources

- **Tax Revenue:** Local taxes and cesses.
- **Non-Tax Revenue:** Rent and user charges.
- **Grants:** From central and state governments.
- **Devolution:** Fund transfers to urban local bodies from state governments.
- **Loans:** Raised from state governments and financial institutions.

Central Council of Local Governments

- **Establishment:** Formed in 1954 under Article 263 as an advisory body.
- **Composition:** Includes the Minister for Housing and Urban Affairs and state ministers for local self-government, chaired by the Union minister.

CO-OPERATIVE SOCIETIES

- **Definition:** Cooperative societies are **democratic organisations** controlled by their **members**, who participate in decision-making and policy formulation.
- **Subject:** State List Entry 32 refers to **cooperative societies** under the **Seventh Schedule** of the Constitution.
- **Membership:** Comprises individuals or groups like **farmers, artisans, small businesses, or consumers**.
- **Principles:** Governed by **cooperation, self-help, and mutual assistance** to meet common needs.
- **Recognition:** Acknowledged constitutionally in India via the **97th Constitutional Amendment Act of 2011**, akin to **Panchayati Raj Institutions**.

BRIEF HISTORY OF COOPERATIVES IN INDIA

Pre-Independence Phase

- **Late 19th Century:** Originated to alleviate **financial burdens** on farmers from **money lenders**.
- **1901:** Committee chaired by **Sir Edward Law** recommended establishing **Cooperative Credit societies**.
- **1904:** Introduction of the **Cooperative Societies Act**, leading to the first cooperative, the **Agricultural Credit Cooperative Society in Kanaginahal, Karnataka**.
- **1914-1915:** Assessment by **Sir E.D. MacLagan** proposed significant advancements in the cooperative movement.
- **1919:** The **Government of India Act** transferred cooperation to a provincial subject, supervised by a minister.

Post-Independence Phase

- **1947 Onwards:** Emphasis on cooperation as a tool for **planned economic development**.
- **Nehru's Vision:** First Prime Minister **Jawaharlal Nehru** promoted a culture of cooperation, prioritising the **agricultural sector** in five-year plans.
- **Current Status:** India boasts around **8.19 lakh cooperative societies** across 29 sectors, with a **membership of more than 29 crores**, covering 91% of villages. It includes 19 National federations, 228 State federations, 485 District federations, and 1,03,304 Primary Agriculture Credit Societies. (National Cooperative Database 2023).
- **Notable Cooperatives:** Renowned societies include **AMUL, Lijjat Papad, PMC Bank, and IFFCO**.

97TH CONSTITUTIONAL AMENDMENT ACT OF 2011

- **Constitutional Status:** Accorded **constitutional status** and protections to cooperative societies.
- **Key Changes:**
 - **Fundamental Right:** Right to form cooperative societies recognized as a **fundamental right** (Article 19).
 - **Directive Principles:** New **Directive Principle of State Policy** (Article 43B) promotes the establishment of cooperative societies.
 - **New Part IX-B:** Introduced titled "**The Cooperative Societies**" (Articles 243ZH to 243ZT).

Constitutional Provisions

- **Incorporation of Cooperative Societies (Article 243ZI):** State legislature can regulate incorporation, management, and winding up of cooperatives.
- **Board Composition and Term (Article 243ZJ):**
 - **Directors:** Maximum of **21 directors** as determined by state legislature.

- **Term:** 5-year term; elections must occur before the current term expires.
- **Reservation:** One seat for SC/ST and two seats for **women** on boards with eligible members.
- **Co-opted Members:** Up to **two co-opted members** allowed without voting rights.
- **Supersession and Suspension (Article 243ZL):**
 - Boards can be suspended for a maximum of **six months** (one year for cooperative banks).
 - No supersession if there is no **government shareholding** or financial aid.
- **Audit of Accounts (Article 243ZM):**
 - State legislature may require annual audits within **six months** of the financial year-end.
 - Auditor appointed from a state-approved panel; audit reports for apex societies presented to the state legislature.
- **Filing Returns:** Cooperatives must file returns within **six months** post financial year, covering operational aspects and audit reports.
- **Annual General Body Meetings (Article 243ZN):** Mandated within **six months** of the financial year's close.
- **Promoting Transparency (Article ZO):** Members entitled to access books, accounts, and information; cooperative education encouraged.
- **Offences and Penalties (Article 243ZQ):** State legislatures can define offences and penalties regarding cooperative management and elections.
- **Application to Multi-State and Union Territories**
 - **Multi-State Cooperatives (Article 243ZR):** Provisions apply with modifications replacing state references with **Parliament** and **Central Government**.
 - **Union Territories (Article 243ZS):** Provisions applicable unless specified otherwise by the **President**.

- **Continuance of Existing Laws (Article 243ZT):** Existing state laws on cooperatives remain effective until amended or for one year after the amendment's commencement.

Cases Related to Co-operative Societies

- In **Rajendra Shah case (2013)**, the Gujarat High Court declared that the 97th Constitutional Amendment Act (2011) inserting Part IX-B is ultra vires the Constitution of India for want of the requisite ratification by the states under Article 368.
- In 2021, the **Supreme Court**, upon an appeal by the Union of India, affirmed the judgement of the **Gujarat High Court**, except for the part that invalidated the entirety of Part IX-B of the Constitution of India. Additionally, the Supreme Court specified that Part IX-B is **applicable solely to multi-state co-operative societies** within states and union territories.

MINISTRY OF COOPERATION (2021)

Established by the **Government of India** in 2021, the **Ministry of Cooperation** aims to promote “**Sahakar se Samridhhi**” (Prosperity through Cooperation) by revitalising the cooperative movement. It was created by transferring responsibilities from the **Ministry of Agriculture**.

Objectives:

- **Strengthen the Cooperative Framework:** Develop a supportive administrative and legal structure.
- **Promote Grassroots Development:** Foster a people-centric cooperative movement.
- **Enhance Ease of Doing Business:** Simplify processes for cooperatives and Multi-State Societies.
- **Ensure Transparency & Modernization:** Boost transparency and competitiveness, benefiting rural communities and connecting villages with cooperatives for national prosperity.

